Technical Articles Theme 08

Title: Strategic Management in Entrepreneurship and E-Commerce

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Strategic Management and its Role in Entrepreneurship

Strategic management and entrepreneurship are somehow related to each other. **Strategy** is an action plan that synchronizes the tangible and intangible resources and for achieving a set target for superior performance. A person might have a unique business idea but he cannot grow properly if he is unable to execute it with proper strategy. **Strategic management** is a branch of management. It is essential for managing organizational tangible and intangible resources to achieve its long term and short term goals and objective for sustainable competitive advantage in industry. There are three main phases of strategic management namely *Strategy formulation, strategy implementation, Strategy evaluation and control.* The main areas covered under strategic management are business vision and mission, internal and external environmental scanning, strategies formulation, analyzing the multiple strategies, sustainable competitive advantage for sustainable growth, implementation and operational execution of strategies, Strategies review, measures and control.

Strategic management can be divided in three broad categories i.e. strategy formulation, implementation and evaluation. Vision, mission, long term and short term goals and objectives, environmental scanning, strategies analysis and choices, business models and competitive advantage are all part of strategy formulation. Structures, designs and polices development, managing and allocating resources, functional areas e.g. marketing, finance, R&D and HR along with putting strategies into real time operations are part of strategy implementation. Strategy review, quality and control, corrective measures and revisiting strategies are all part of strategy evaluation. Creation and growth, diversification, performance of firms, industry dynamics, competitive advantage Mergers, acquisitions, alliances innovation and product ecosystems are some overlapping areas of strategic management and entrepreneurship.

Strategic management process is a method by which entrepreneurs assess their idea's viability and implement an appropriate strategy that can ensure to a sustainable competitive advantage of venture. This process starts with initial assessment which includes vision and mission. Next comes situation analysis which includes SWOT analysis i.e. analysis of strengths, weaknesses, opportunities and threats. When it comes to strategy formulation there is need to have a look at objectives, business level, corporate level, and global strategy selection. At the phase of strategy implementation policies, resource allocation, change management, organizational chart and structure are designed and redesigned. After design and implementation strategic monitoring comes in action through which performance is measured.

Vision statement defines the anticipated future orientation of the business venture whereas ***mission statement*** outlines the company's business, objectives and its approach to reach those objectives.

A good mission and vision statement must have a philosophy. Vision and mission statement must be aligned with each other. These must be customer and market oriented. Technology must be reflected. Competitive advantage, concern for society, concern for employees and future

orientation must also be reflected in vision or mission statement. Main questions to be asked while planning for a business are:

- *What is your general business description?*
- *What is your business model?*
- *Is it sustainable viable business idea?*

There are a lot of benefits of defining vision and mission statement. Clear vision and mission statement brings unanimity of purpose and direction among strategic partners. It provides standards and procedures for execution plan. Brings focus in allocation of resources. Establish a culture and tone of your venture. Serve as a direction and quality standard. Set rule to deter those strategic partners who cannot from participate for further growth. Facilitate in translating the long-term and short-term goals and objectives into a work structure. It also motivates for future growth.

For starting a new venture **SWOT analysis** of the business and individual himself must be done. SWOT stands for strengths, weaknesses, opportunities and threats.

Strengths are the positive internal factors that a business venture can use to achieve its vision, mission, goals and objectives. **Weaknesses** are the negative internal factors that inhibit the business venture's capability to achieve its vision, mission, goals and objectives. It adversely affect the sustainable competitive advantage of a venture. Following is the checklist of own/individual assessment:

- ✓ *Am I clear about my destination?*
- ✓ *Are my skills sufficient for kick start or growth?*
- ✓ *What are my limitations?*
- ✓ *In which area I am lacking that could adversely/positively affect my venture establishment or growth?*
- ✓ *Is my network worthy for establishment/growth?*
- ✓ *What level of commitment I can bring in my venture?*

Following is the checklist of venture assessment:

- ✓ *Is venture's objectives and goals measurable?*
- ✓ *Is venture's objectives and goals well communicated to strategic partners?*
- ✓ *Is product/service design competitive?*
- ✓ *Is selected target market is well thought and planned?*
- ✓ *Is my pricing strategy competitive?*
- ✓ *Are my unique selling proposition well communicated to target market?*
- ✓ *Is customer orientation well crafted?*
- ✓ *Is the venture's structure appropriate?*
- ✓ *Are jobs and requirements clear to all strategic partners?*
- ✓ *Is strategic partners' morale high?*
- ✓ *Are employee's absenteeism and/or turnover low?*

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- ✓ *Are reward and control mechanisms effective*?

There are several tools that can be used to assess strengths and weaknesses. These are usually cost benefit analysis, financial ratios, and production and operation assessment. Business operates under an ecosystem that affects its activities. Internal factors like its customers, organizational environment and suppliers might be affecting the business. Similarly competitors, technological change, political environment, economy, social factors and several other factors also positively and negatively affect the business. So, **Opportunities** are potential options available in the external environment that a venture/entrepreneur can exploit to achieve its vision, mission, goals and objectives. **Threats** are negative forces available in the external environment that inhibit the business venture's capability to achieve its vision, mission, goals and objectives. Economic forces, social cultural and demographic forces, natural environment forces, political and governmental forces, legal forces, technological forces and competitive forces all can be considered as broad categories of external forces. Marketing intelligence, scenario planning, PEST Analysis (political, economic, social and technological analysis), Porter's five forces model (Competition in the industry, new entrants, Power of suppliers, Power of customers, substitute products) are several tools for external environment audit.

Keeping in view the SWOT analysis businesses define their goals and objectives. **Goals** are the broad long-range attributes that a business seeks to accomplish; Goals tend to be general and sometimes even abstract. **Objectives** are more specific, precise and quantifiable plan of performance addressing areas such as profitability, productivity, growth and other key aspects of a business. Objectives are defined on the basis of areas like product design, innovation, market development/diversification/penetration, productivity, cost efficiency, profitability, financial resources, growth, physical infrastructure development, team/venture restructuring and venture/employees performance. Objectives should be specific, measurable, assignable, realistic, attainable, time bound, written. These same characteristics are also defined by **SMART** model. Short term objectives suggest yearly plan of action whereas long term objectives are defined to be achieved within time frame of 5 to 10 years.

Strategy is an action plan that synchronizes the tangible and intangible resources and for achieving a set target for superior performance. It is road of action an entrepreneur draws up to attain the venture vision, mission, goals and objectives. It must be based on entrepreneur and company's core competencies while considering strengths and weaknesses. A successful strategy must be comprehensive, well thought and well integrated ensuring the key success factors to win the market share. Cost leadership strategy, differentiation strategy and focus strategy are three possible strategy options.

According to Porter Generic strategic positioning model, ***Cost leadership strategy*** is a strategy in which an entrepreneur strives to be low-cost producer relative to its competitors in the industry. It involves mass production, quality compromise, or technological breakthrough. It may trigger price war in the industry. Cost leadership strategy is applied if owner is selling similar product/services

and customers are not brand conscious. If customers are price conscious and ready to compromise on quality and the industry is price focused.

Differentiation strategy is strategy in which the entrepreneur seeks to build customer base by positioning its product or service in a unique or different fashion and where the customers also value its differentiation. Differentiation strategy is applied if customers value and demand for differentiation. They are brand conscious not price conscious and are not ready to compromise on quality.

Focus strategy is where an entrepreneur selects one or more narrow (niche) market segment to serve. He/she identifies the market segment's special need, wants, interest and approaches them with customized product or service. In focus strategy itself an entrepreneur can be low cost or he/she can differentiate.

Competitive advantage is defined as unique advantage over the competitors an entrepreneur gained by offering consumers greater value either in terms of cost or differentiation of product or services. By competitive advantage an entrepreneur is offering superior cost/production efficiency, superior good and/or service quality, superior innovation and up-gradation and/or superior customers' engagement. According to competitive advantage model, resources and core competencies lead to competitive advantage that gives cost or differentiation advantage which ultimately leads to value creation. Companies can achieve global competitive advantage through Local market adaptation, economies of scale, common global culture, tapping the optimal location for activities and resources, knowledge management and sharing, technology transfer, cost efficiency and technological efficiency. Competitive positions can be achieved being market leader, market follower, market challenger and market nicher. Market leader is the one having larger portion of market share. Market challengers are those who are innovating through technology cost efficiency or any other way. Market followers are those are always following market trends. Market nicher are those who are dealing in highly competitive market which is smaller in size. Competitive advantage should be valuable, rare, inimitable, non-substitutable and sustainable.

Competition is analyzed through many tools one of which is Porter's five forces model. Industry rivalry has to be analyzed. Threats of entry, bargaining power of suppliers, bargaining power of customers and threats of substitutes are remaining forces. Number of competitors, rate of industry growth, and intermittent industry overcapacity, and exit barriers, diversity of competitors, informational complexity, brand equity and level of advertising expense are some of the indicators of industry rivalry. Barriers to entry, economies of scales, brand equity, switching costs, access to distribution, absolute cost advantages, learning curve advantages and government policies are indicators to be analyzed while looking for threats of new entrants. Supplier switching costs relative to firm switching costs, degree of differentiation of inputs, price of inputs, uninterrupted supplies of input are to be analyzed to check supplier power. To check buyer power, bargaining leverage and volume, buyer switching costs, trends and preferences and buyer information

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availability are to be analyzed. Buyer propensity to substitute and relative performance of substitutes are the indicators for analyzing substitutes.

Strategies once made must be continuously evaluated. A strategy should be ***consistent*** with goals and policies. ***Consonance*** refers to the need for strategists to examine sets of trends adaptive response to the external environment. Strategies must be ***feasible*** i.e. one must have all resources i.e. physical, human and financial resources. Must have ***competitive advantage***. Checklist for evaluation of strategies includes the following:

- ✓ *Competitors reaction to strategies*
- ✓ *Competitors' strategies change*
- ✓ *Competitors' strengths and weaknesses change*
- ✓ *Competitors strategic changes and success*
- ✓ *Competitors satisfaction with their present market positions and profitability*

When entrepreneurs want to do financial review, they must have know how about financial review tools like return on investment (ROI), return on equity (ROE), profit margin, market share, debt to equity, earnings per share, sales and asset growth. Balanced scorecard is a document through which areas of objectives can be measured according to set targets and timelines and responsibilities. Similarly for review and evaluation *policy audit*, *human audit* are done. Along with that *corporate social responsibility and ethical responsibility* are also analyzed.

Blue Ocean Strategy suggests how to create uncontested market space and make the competition irrelevant. The book regarding the strategy was written by W. Chan Kim and Renée Mauborgne. According to this strategy, market is an ocean and the ocean is divided into two parts one with more sharks means high competition with limited capacity and other with less competition and survival is not that difficult. Earlier is considered as Red Ocean and later being considered as Blue Ocean. In Red Ocean strategy competitors have to compete in existing market, they have to beat the competition and exploit existing demand. After that value cost tradeoff is done and whole system of a strategic firm's activities are aligned with its choice *of* differentiation or low cost. According to blue ocean strategy uncontested market space is created. Competition is to be made irrelevant, new demand is captured. After which there would be no need to tradeoff between value and cost rather value innovation can be created. According to Blue ocean theory, supply exceeds demand, more options are available as customers globally, and price war has increased. Profit margins are shrinking. Brands are becoming more similar and selection is based on price. 3 core **principles** of BOS are:

1. Reconstruct Market Boundaries
2. Reach beyond existing Demand
3. Get the strategic sequence right

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1. Reconstruct market boundaries

Following table suggests boundaries of competition relevant to market where head to head competition is there.

Industry	Looks across alternative industries
Strategic Group	Looks across strategic groups within its industry
Buyer Group	Redefines the buyer group of the industry
Scope of Product and Service Offerings	Looks across to complementary product and service offerings that go beyond the bounds of its industry
Functional-emotional Orientation of an Industry	Rethinks the functional-emotional orientation of its industry
Time/Trends	Participation in shaping external trends over time

Industry	Focuses on rivals within its industry
Strategic Group	Focuses on competitive position within strategic group
Buyer Group	Focuses on better serving the buyer group
Scope of Product and Service Offerings	Focuses on maximizing the value of product and service offerings within the bounds of its industry
Functional-emotional Orientation of an Industry	Focuses on improving price-performance with the functional or emotional orientation of this industry
Time/Trends	Focuses on adapting to external trends as they occur

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As compared to the above table following table suggests boundaries of competition relevant to Blue ocean strategies.

2. Reach Beyond Existing Demand

Through this logic two basic conventional strategies are challenged i.e. focus is not limited to existing customers only. In addition to that, these strategies drive for finer segmentation to accommodate buyer differences. Mobile phone applications are perfect example of this new demand creation. Non customers are to be targeted.

3. Get the Strategic Sequence right

If the supplier/ buyer utility for the business is going right there is a need to check whether price is easily accessible to mass of buyers. After that, there is need to assess whether you need to attain cost target to profit at strategic price. If yes, there is need to have knowledge about adoption hurdles for the business idea.

Strategy canvas can be used in Blue Ocean Strategy where multiple factors that the industry competes in are to be kept in mind and performance is measured. Through this strategy one has to operate beyond the usual industry performers/operators. Four actions are there to create Blue Ocean strategies which are *Reduce, Create, Raise, and Eliminate.*

----------The End----------

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